

JBGS pitch deck

PITCH — JBGS — PROPOSED VERDICT

PROPOSED — PENDING ADJUDICATION: DO NOT BUY. Both benches recommend rejecting this idea (conviction 8/10 each); no position, and — unusually — no standing buy-the-dip price level, because the problem is an open-ended legal liability, not a valuation dispute. Re-open only on the specific events listed below.

What we believe

JBG SMITH is a Washington-DC office and apartment landlord that has lost roughly half its market value over the past year and now trades around \$11.50, within about 7–10% of its 52-week low. The original pitch argued this was an overreaction. After adversarial review, we believe the opposite: the decline is a reasonable response to a genuine, still-unresolved threat.

On July 31, 2026, a DC trial court entered a judgment of approximately **\$356.1 million** (a tripled damages award) against the defendants in the Wardman Tower condominium construction-defect case — and the company’s own quarterly report says those defendants **include JBG SMITH itself**. The company’s disclosed worst case is the full \$356.1 million **plus attorneys’ fees plus interest that accrues during the appeal** — call it \$400 million or more against roughly \$840–850 million of total equity value (counting both public shares and the operating-partnership units held by insiders). That is a tail equal to nearly half the company.

Around that tail sits a business with no cushion: same-store income is shrinking, office occupancy is about 75%, the largest tenant is the federal government (~24% of rent) during a period of federal downsizing, debt is about 12.4x annual cash earnings, and the dividend is not fully covered once you account for the recurring costs of re-leasing office space. The company recorded **zero liability** for the judgment, calling a loss “not probable” — on a judgment a court has already entered. We read that as posture, not information. To collect nothing here you likely need to win the appeal outright, which takes 18–30 months.

What the market believes

The market has cut the stock roughly in half over twelve months, with two distinct drops around the judgment news on top of a longer fundamental grind. The roughly \$187 million of market value lost across the judgment-related gaps equals about 45–50% of the disclosed worst-case loss — i.e., the market is pricing the judgment as a serious but survivable event, discounted for the chance the appeal succeeds or reduces it. The market also still receives a \$0.175 quarterly dividend (declared July 30, one day before the judgment was entered) and has watched the company shrink its share count from 114 million (2023) to 58.6 million (August 2026) through buybacks, which has supported the price.

Why we might have edge

Honestly: less than the original pitch claimed. What survives:

- **We read the primary documents; much commentary hasn't.** The quarterly filing's own words — defendant status, the "\$0 to \$356.1 million **plus** fees **plus** interest" range, the zero accrual, the warning that posting appeal collateral "may impact our liquidity" — are more alarming than the headline coverage.
- **We identified the live near-term catalyst others may be ignoring:** the next dividend declaration (expected around October 30). The dividend exceeds true cash coverage, and cash (\$74.8 million) plus a covenant-restricted credit line must now also fund appeal collateral. A cut is a real possibility and would be a fresh down-leg.
- **We noticed what is missing:** the litigation disclosure contains **no mention of insurance recovery** for a construction-defect judgment. For a claim of this type, silence about insurance is itself a signal.

Note the asymmetry: our "edge," such as it is, points **against** owning the stock, not toward it.

Why it might be priced in

Symmetry requires saying this plainly: a ~50% decline may already embed everything above. The market cap loss attributable to the judgment is roughly half the worst-case tail — not obviously too little for a company that might win on appeal, might have the tripling reversed (the tripled portion is ~\$237 million of the \$356 million), and might share the bill with a construction-company co-defendant. The company publicly maintains a loss is improbable. If the appeal succeeds, today's price is cheap. Our answer is not "the market is wrong about the size" — it is that the outcome is a coin-flip on an appellate court we cannot handicap, sitting on a levered, deteriorating business, and we are not paid to hold that. That is a reason to abstain, not a reason to short.

What we checked ourselves

claim	how checked	found	confirmed?
Judgment binds the company itself, not just affiliates	Read the litigation note in the Q2 2026 10-Q filed 2026-08-10 (fetched via proxy after SEC rate-limiting), cross-checked against trade-press reporting of the ruling	"We, along with multiple other parties, are named defendants... ordered the defendants... to pay... approximately \$356.1 million." Five of six defendant pockets are the JBG family; one is an outside construction firm	YES — this killed the original pitch's main hope (that damages would be apportioned away to others)
Original pitch's "apportionment could change the math by multiples"	Same primary read	Apportionment relief now requires winning the appeal, not a discovery event. Our own originating bench pitched an already-dead scenario as an open option — bench error.	REFUTED

claim	how checked	found	confirmed?
Original pitch’s “the company didn’t exist when the building was finished (2017 formation)”	Formation history vs. current defendant status	The company was formed by absorbing the legacy JBG entities and their obligations; it is a named defendant today regardless. Second bench error in the original pitch.	REFUTED
Original pitch’s price anchors (high of \$24.30, “6.6% off the low”)	Checked against the machine-built evidence pack	Benches’ broker feed showed high \$23.53 and 9.6% off the low (the Yahoo feed in this pack shows \$24.30/6.6% — the two sources disagree, which we flag rather than hide). Either way the pitch’s decomposition percentages were built on unchecked numbers. Third bench error.	Anchors REFUTED as stated; the qualitative story (two event-driven gaps atop a grind) survives
Worst-case loss exceeds the \$356.1M headline	Verbatim from the litigation note	Range is “\$0 to the \$356.1 million judgment, plus attorneys’ fees... and post-judgment interest ”	YES
No liability recorded for an entered judgment	Litigation note	Confirmed — zero accrual; company calls loss “not probable” while under an entered judgment	YES
Dividend not truly covered	Q2 figures: Core FFO \$0.18/sh vs. \$0.175 declared; Core FFO excludes recurring re-leasing costs, which are large at 75% office occupancy	Coverage is ~1.0x before those costs, below 1.0x after	YES
Buyback support now halted by the appeal-collateral need	Share count from filings (114M → 58.6M confirmed)	The shrink is real, but no filing confirms a halt. Our red bench overstated this as confirmed; the review correctly downgraded it to plausible-but-unproven. Bench error (red).	Shrink YES; halt UNPROVEN
Red bench’s claim the judgment “explicitly” names the operating partnership	Review against the verified text	The filing says “us” and “one of our subsidiary entities”; the partnership’s separate naming was not verified. Bench error (red) — overran the record. Immaterial to the conclusion	REDUCED
Insurance recovery available	Searched the litigation and insurance disclosures	No insurance-recovery language anywhere in the note — an absence, elevated to a sizing input (red initially buried this)	ABSENCE CONFIRMED
Federal-tenant pressure is real, not headline noise	Q2 disclosures	GSA ~24% of rent; National Landing new apartment leases repricing –9.5%; office occupancy 75.4%	YES

PROPOSED ENTRY BANDS

No entry at any price. The courts explicitly declined to set a buy level: the risk is an unbounded legal tail plus deteriorating operations, so cheapness alone cannot clear it. Per our discipline, a business-risk finding gets a size answer (here: zero), not a price answer.

Reopen conditions (any one triggers a fresh court, not an automatic buy):

1. **Appeal-bond ruling favorable on liquidity** — the court sets appeal collateral materially below the \$356.1M judgment without requiring full cash collateral. Watch 8-K filings; no date scheduled.
2. **Insurance disclosure appears** — any filing language describing insurance recovery against the judgment. Currently absent entirely.
3. **Dividend cut that clears the overhang without the stock re-rating** — i.e., the company frees ~\$41M/year of cash and the price does not already reward it. Next declaration expected ~2026-10-30 (date inferred from the July 30 pattern, not confirmed).
4. **Appellate briefing showing the tripled damages (~\$237M of the \$356M) are severable and reviewed fresh on appeal** — this alone would shrink the realistic tail below ~\$120M plus fees and change the arithmetic.

If none of these occur, the position stays at zero through the appeal (18–30 months).

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- filing watch: 8-K,10-Q until 2027-02-11 (deck-provisional: appeal-bond (Rule 62) order/collateralization, insurance-recovery disclosure, dividend cut, buyback su)
- dated pack JBGS|2026-10-30: JBGS: expected Q3 dividend declaration - the live down-catalyst (last declared 2026-07-30 at \$0.175 vs sub-1.0x true coverage) (date confirm)
- dated pack JBGS|2026-11-03: The print is NOT the event on this name and the pack should say so. Read, in order: (1) whether an accrual has been established against the

What remains unverified

- Whether the operating partnership is separately named in the judgment, and whether liability is joint-and-several among the six defendants.
- The post-judgment interest rate (the filing confirms interest accrues; the rate is not stated).
- Whether any appeal bond has been posted or scheduled since the August 10 filing (searched; nothing found yet).
- Whether any insurance coverage exists at all (the disclosure is silent — we verified the silence, not the underlying fact).
- The pitch's claim that 92% of the government tenancy sits in secure (hard-to-relocate) facilities — asserted, never sourced by either bench.
- Whether buybacks have actually stopped (plausible given competing cash needs; no filing confirms it).

- The ~October 30 dividend-declaration date and the November 3 earnings date (both inferred, neither company-confirmed).
- Analyst-coverage count and short interest (data access unavailable this session; the stock's non-orphan status is not in genuine doubt, but the number is unverified).
- The original pitch's "mis-swept from its peer cohort" claim — the cohort file was never read by either bench; treated as unproven.

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